

Final case: Outsourcing, Near-sourcing, and Supply Chain Flexibility in the Apparel Industry

Questions:

Prepare a report describing your recommendation regarding the three business models, illustrating them with tables, graphs, and charts as needed. Your primary gradable deliverable is this report; you are welcome to also submit your models, code, and so on, but those will only be assessed by the professor/grader if the report is very unclear.

Section #1: Outsourcing business model

The higher-level question is: *How many shirts should Veizenburg order for the upcoming collection?*

For now, only consider the outsourcing option - when all the products are made in Ukraine. To determine that, complete the following:

1. Replicate the Tableau visual in the case Exhibit 2.
 2. Prepare a demand forecast for the upcoming LEC (regression analysis).
 3. How many shirts should be ordered from Ukraine for the upcoming LEC to maximise the expected profit?
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Section #2: Near-sourcing business model

The higher-level question is: *How much benefit can Veizenburg obtain by sourcing from the local production facility?*

To determine that, complete the following:

4. Summarize your team's approach to the "outsourcing" business model; basically, revise your analyses from the outsourcing section. Comment on the roadmap (what to do), forecasting (how to use data), and optimization (how to find the best decision).
 5. How should Veizenburg optimally use the local production facility for the upcoming LEC? Contrast the result with that of the outsourcing business model.
 6. Evaluate the benefit of the near-sourcing option. For that, compare the profit Veizenburg would have obtained in LECs 11–23 had his firm utilized the outsourcing model only versus the profit they would have obtained from near-sourcing.
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Section #3: Flexibility business model

The higher-level question is: *How valuable is this alternative to Veizenburg's firm?*

To determine that, focus on the flexibility alternative alone (i.e., not on flexibility and near-sourcing combined):

7. **“Roadmap”**: Describe, in nontechnical language, how the flexibility changes Veizenburg's approach to managing the LEC supply. Comment also on how your approach to forecasting will need to change in order to evaluate this alternative. *(Hint: What quantity/quantities do you need to forecast?)*
8. **“Analyze (i.e., Forecast and Optimize)”**: Prepare the corresponding forecast(s) for the upcoming LEC. Prepare an ordering strategy recommendation for the upcoming LEC.
9. **“Backtest”**: Suppose that Veizenburg's company were to choose flexibility or near-sourcing as its “default” operational model (meaning that it would've been applied to LECs 11-23). Which of the two business models should the firm choose? The ultimate higher-level question is: *How valuable is reorder flexibility to Veizenburg's firm?*

Timeline of the case defence:

Monday, December 8 - final group presentations. (15 points: 11 points from us (quality of the report and answers to the questions in each section (9), efficiency of the presentation (2), etc), 4 points from other groups (answer to the questions). The individual mark will be multiplied by the group evaluation of each group member's activity in case solution (number between 0 and 1).

Sunday, December 7 - submission of all materials.

Wednesday, December 3, 16.30-18.30 - preliminary defence. (5 points for the understanding of the case deliverables and the progress the group made)